

Amit Daryanani
415-800-0185
amit.daryanani@evercoreisi.com

Irvin Liu
415-800-0183
irvin.liu@evercoreisi.com

Victor Santiago
212-653-9014
Victor.Santiago@evercoreISI.com

Caden Dahl
212-653-9034
Caden.Dahl@evercoreisi.com

Hannah Liu
212-812-2905
hannah.liu@evercoreISI.com

IT Hardware/Networking: Optical Expert Call Highlights - DCI Driving Growth

ALL YOU NEED TO KNOW: We hosted an expert call with Jimmy Yu (VP, Optical Transport at Dell'Oro). The discussion centered on how AI-driven bandwidth demand is reshaping the optical market, with DCI and scale-across emerging as primary growth drivers as hyperscalers connect distributed AI clusters across geographies. After a down year in 2024, the optical market rebounded in 2025, growing 10% to \$16B. Our expert anticipates a similar year of growth in 2026, with potential for upside as deployments ramp and scale-across builds begin to materialize. Importantly, nearly all incremental growth is being driven by DCI, while non-DCI segments remain largely flat, highlighting a clear bifurcation in demand trends across the market. Key points from the discussion: **1) DCI Driving Growth:** DCI is the dominant growth vector, growing ~40% in 2025 and benefiting from hyperscaler's demand to interconnect AI infrastructure, with 2025 representing the first meaningful year of this cycle and multiple years of growth likely ahead. **2) Supply Constraints:** Supply, not demand, is the gating factor, with constraints across multiple components. Jimmy noted it's reminiscent of Covid days when not one component was the sole factor in delays. Near-term demand appears inelastic to price. **3) Battle of Scale in 800G Pluggables:** Coherent pluggables (ZR/ZR+) are seeing strong adoption, with 800G ramping up; competition is centered on DSP performance, cost, but more importantly the ability to scale supply to meet drastic demand. **4) OCS Moving Toward Mainstream:** Optical circuit switching is gaining traction as AI workloads favor deterministic traffic patterns, with potential for broader hyperscaler adoption over time. **5) Disaggregation Accelerates:** The shift toward disaggregated WDM architectures continues, driven by hyperscaler demand for flexibility, scalability, and reduced vendor lock-ins. **Net/Net:** It would seem the demand for Optics is here to stay awhile, with DCI and scale-across driving a multi-year expansion cycle. While supply remains the key constraint near term, we see pluggables, disaggregation, and emerging architectures such as OCS expanding the TAM and supporting multiple winners across the ecosystem.

DCI Driving Optical Growth: DCI has emerged as the clear driver of optical demand, with ~40% growth in 2025 versus flat growth in non-DCI segments. Cloud providers now represent ~25% of total optical demand, with DCI accounting for ~30%+ of the market and growing steadily quarter-over-quarter. This reflects early-stage AI infrastructure buildouts, where connecting data centers ("scale-across") is becoming critical. Importantly, 2025 represents the first meaningful year of the DCI and scale-across opportunity, suggesting multiple years of sustained growth ahead as AI clusters scale geographically.

Supply, not Demand, Constraints: A key theme from the discussion is that supply, not demand, is the limiting factor for optical deployments. Constraints are broad-based (components, wafers, materials like InP) and difficult to pinpoint, akin to COVID dynamics. Competition for shared components with data center infrastructure (GPUs, servers) could further tighten supply. On pricing, component costs have risen (~high-single digits), but system vendors are only passing through a portion (~2-3%), supported by design efficiencies and scale. Near-term demand remains relatively inelastic, though longer-term elasticity should normalize.

State of Pluggables: Coherent pluggables remain one of the fastest-growing segments within optics, particularly as 800G ZR/ZR+ begins to ramp and scale-across architectures gain traction. Early leadership in 400G was held by CSCO (Acacia) and MRVL due to first-mover advantage, though newer entrants like CIEN were able to capture ~10% share over time. As the market transitions to 800G, price and availability, not just performance, are emerging as the key gating factors for share. Hyperscalers are increasingly prioritizing vendors that can reliably scale production, especially as pluggables become a core building block of more disaggregated optical architectures (routers + optics + open line systems). This shift further lowers barriers to entry and increases vendor competition. We expect CSCO, CIEN, and NOK to be primary beneficiaries in 2026, with MRVL potentially re-entering more meaningfully in 2027 as it ramps next-gen DSPs.

OCS Gaining Traction: OCS is gaining renewed interest as AI workloads create deterministic traffic patterns well suited for circuit switching. Its key advantages include no added latency, no compute requirement, and no packet inspection, enabling simpler and more efficient data movement across clusters. These benefits become increasingly important as architectures scale across geographies and require more predictable performance. OCS also fits naturally alongside disaggregated network designs, acting as a complementary layer to packet switching rather than a replacement. While still early and not yet fully modeled, OCS could represent a meaningful incremental opportunity as hyperscalers expand deployments. GOOG is already implementing OCS, and based on our prior call with Sameh Boujelbene, other hyperscalers have begun deployments as well.

DCOM Opportunity Emerging: DCOM is an emerging optical solution within the data center that does not neatly fit traditional market definitions but is gaining traction as AI clusters scale. CIEN has already seen early traction, with Jimmy estimating DCOM accounting for ~\$40M of revenue over the past six months for CIEN and a potential ~\$200M opportunity with Meta alone. With two additional hyperscaler engagements underway, the total opportunity could approach ~\$600M over time. While still early, increasing interest from vendors like NOK suggests this could evolve into a meaningful incremental growth vector.

AI Aiding in SP: While AI-driven demand is currently concentrated within hyperscalers, we are beginning to see early signs of spillover into traditional service providers. Enterprises are increasingly evaluating whether their networks are “AI-ready,” requiring higher bandwidth, improved reliability, and lower latency. As a result, service providers are expected to shift investment toward metro and core network upgrades. While not yet a material growth driver, this represents a longer-term tailwind as AI adoption expands into the enterprise.

CIEN Positioned Well in AI Optical: CIEN appears well positioned to benefit from the ongoing shift toward AI-driven DCI and more disaggregated optical architectures. The company is gaining traction in coherent pluggables (particularly 800G ZR/ZR+), where its newer DSPs should support competitive performance and efficiency. Additionally, CIEN is seeing early success in emerging opportunities like DCOM, with meaningful potential tied to hyperscaler deployments (e.g., Meta). More broadly, CIEN’s exposure to both pluggables and system-level solutions positions it to benefit as hyperscalers adopt more flexible, disaggregated networking models.

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